IN THE NATIONAL COMPANY LAW TRIBUNAL

KOLKATA BENCH

KOLKATA

Company Petition No.729 of 2018

Connected with CA(CAA) No. 562/KB/2017

IN THE MATTER OF:

The Companies Act, 2013 - Section 230(6) read with Section 232(3)

-And-

IN THE MATTER OF:

The Bormah Jan Tea Company (1936) Limited, a Company incorporated under the provisions of the Indian Companies Act, 1913 and being a Company within the meaning of the Companies Act, 2013 having its registered office at McLeod House, 3, Netaji Subhas Road, Kolkata 700 001 in the State of West Bengal. .....Petitioner No.1

-And-

Teesta Valley Tea Company Limited, a Company incorporated under the provisions of the Indian Companies Act, 1866 and being a Company within the meaning of the Companies Act, 2013 having its registered office at 5 & 7, Netaji Subhas Road, Kolkata 700 001 in the State of West Bengal. ....

Petitioner No.2

-And-

IN THE MATTER OF:

1. The Bormah Jan Tea Company (1936) Limited

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2. Teesta Valley Tea Company Limited

. . . . . PETITIONERS

Coram : Mr. Jinan, K.R., Member(Judicial)

For the Petitioner:

Mr Rupak Ghosh, Advocate

Mr Aniket Agarwal, Advocate

Mr. Shantanu Mishra, Advocate

For the Shareholders/Objector

Mr. Victor Dutta, Advocate

Ms. Urmila Chakraborty, Advocate

Date of Pronouncing the order:

Per: Mr. Jinan K.R., Member(Judicial)

ORDER

1. The object of this Petition is to obtain sanction of this Tribunal to the Scheme of Amalgamation of The Bormah Jan Tea Company (1936) Limited, being the Petitioner Company No.1, the Transferor Company with Teesta Valley Tea Company Limited, being the Petitioner No.2, the Transferee Company whereby and where under the entire undertaking of the Transferor Company together with all property, rights, powers and all debts, liabilities, duties and obligations relating thereto is proposed to be transferred to and vested in the Transferee Company on the terms and conditions fully stated in the Scheme of Amalgamation, a copy where is annexed with Petition and marked "A".

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2. It has been stated in the Petition that both the Transferor Company and the Transferee Company are engaged in the business of cultivation, manufacture and sale of te3a.

3. For better and more economic and efficient management, control and running of the businesses of the Companies concerned, to obtain advantages of economies of scale, for growth and development of businesses and undertakings of both the Companies with their combined resources and a larger capital and asset base, it is considered desirable and expedient to amalgamate the Transferor Company with the Transferee Company in the manner and on the terms and conditions stated in the Scheme of Amalgamation.

4. It is also stated that the amalgamation will enable appropriate consolidation and integration of the activities of the Transferor Company and the Transferee Company with pooling and more effective utilisation of resources of both the Companies, reduction of overheads and other expenses and improvement in various operating parameters, resulting in enhanced competitiveness for the amalgamated entity.

5. The amalgamation will result in formation of a larger and stronger company having greater capacity for conducting its operations more effectively and efficiently.

6. The Scheme will have beneficial results for the Petitioner Companies, their respective shareholders, employees and all concerned.

7. The Board of Directors of the Petitioner Companies, at their respective meetings held on 12th March, 2015, by resolutions passed unanimously, approved the Scheme of Amalgamation of the Transferor Company with the Transferee Company.

8. It is stated in the Petition that the Scheme embodies the arrangement between the Petitioner Companies and their respective shareholders. No change in value or terms or any compromise or

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arrangement is proposed under the Scheme with any of the Creditors of the Transferor Company or the Transferee Company.

9. Each of the Petitioner Companies have a substantial excess of assets over liabilities. The amalgamated Transferee Company will continue to have positive net worth with substantial excess of assets over liabilities post effectiveness of the Scheme.

10. It is stated that the Creditors of the Transferor Company and the Transferee Company cannot lose or be adversely affected in any manner by the Scheme of Amalgamation. On the contrary, the Scheme will inure to their benefit and is in their interest.

11. The Scheme of Amalgamation does not involve any debt restructuring and therefore, the requirement to disclose details of debt restructuring is not applicable.

12. It is also stated that there are no proceedings pending under Sections 235 to 251 of the Companies Act, 1956 or Sections 210 to 227 of the Companies Act, 2013 against the Petitioner Companies.

13. The exchange ratio of shares in consideration for the amalgamation has been fixed on a fair and reasonable basis and on the basis of the report of the Chartered Accountants.

14. The independent Merchant Bankers have also confirmed that the entitlement ratio is fair and proper.

15. The copies of the Chartered Accountant on the share exchange ratio and the Fairness Opinion issued by the Merchant Bankers are annexed with the Petition and marked "M" and "N",

16. The Auditors of the Transferor Company and the Transferee Company have confirmed that the accounting treatment in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Sect6ion 133 of the Companies Act, 2013.

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17. The certificates issued by the Auditors of the Transferor Company and the Transferee Company are annexed with the Petition and collective marked "O".

18. It is stated in the Petition that the Transferor Company and the Transferee Company are listed Companies. The shares of the Transferor Company and the Transferee Company are listed on the Calcutta Stock Exchange Limited, "CSE".

19. The Petitioners duly filed the Scheme of Amalgamation with CSE and also with the BSE Limited for their approval pursuant to the applicable SEBI Circular. The Complaints Report required to be filed in terms of the said Circular was also duly filed by the Transferor Company and the Transferee Company.

20. The BSE and CSE have since considered the Scheme and given their observation letters on the Scheme of Amalgamation pursuant to the said SEBI Circular.

21. The copies of the said observation letters dated 15th May, 2017 and 16th May, 2017 issued by BSE and CSE are annexed with the Petition and collectively marked "P".

22. It is stated in the Petition that no one will be prejudiced if the Scheme of Amalgamation is sanctioned and the sanction of the Scheme will benefit and is in the interest of the Petitioner Companies, their shareholders, Creditors, employees and all concerned.

23. By an Order made on 2nd February, 2018, in Company Application CA(CAA) No. 562/KB/2017, this Tribunal directed convening and holding of separate meetings of the Equity Shareholders of the Transferor Company and the Transferee Company.

24. In terms of the said Order dated 2nd February, 2018 of this Tribunal, meetings of the Creditors of the Petitioner Companies were dispensed with in view of the consents given by the Creditors of the

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Petitioner Companies constituting more than 90% of the total value of the Creditors of the Companies respectively.

25. The said separate meetings of the Equity Shareholders of the Petitioner Companies were duly convened and held in accordance with the said Order of this Tribunal dated 2nd February, 2018 and the Scheme of Amalgamation was approved by the Equity Shareholders in the said meetings.

26. The Chairperson has filed his reports along with the affidavits.

27. In compliance with Section 230(5) of the Companies Act, 2013 and he Order dated 2nd February, 2018 of this Tribunal, the Petitioners have duly served notices on the statutory authorities including the Commissioner of Income Tax, Securities and Exchange Board of India, BSE Limited and he Calcutta Stock Exchange Limited.

28. It is stated in the Petition that no objection or representation has been made by them within a period thirty days from the date of receipt of the notices by them or till date of filing of this Petition.

29. After such due compliance, the petitioners have made the instant petition bearing No. C.P. (CAA) No. 729/KB/2018, connected with CA(CAA) No. 562/KB/2017, before this Tribunal, among other things, seeking final sanction to the proposed scheme of Amalgamation.

30. Heard the arguments of the Ld. Counsel for the petitioners.

31. Let Notice be served along with a copy of the Scheme of Amalgamation on the Central Government, through the Regional Director, Eastern Region, Ministry of Corporate Affairs, Kolkata, Registrar of Companies, West Bengal and the concerned Assessing Officer along with the Chief Commissioner of Income Tax with PAN numbers of the Petitioner Companies, the Reserve Bank of India, Securities and Exchange Board of India, BSE Limited and the Calcutta Stock Exchange Limited and also the Official Liquidator, having

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jurisdiction over the transferor and transferee companies, through personal messenger or Speed Post and E-mail, both.

32. The notice shall specify that representation, if any should be filed before this Tribunal within 30 days of the date of receipt of the notice with a copy of such representation being sent simultaneously to the petitioners and their advocates, if no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities have no representation to make on the Scheme of Amalgamation.

33. Let the advertisement of the hearing of this petition be published once in the English daily, "The Business Standard" and another in the Bengali daily newspaper, "Aajkal", stating the PAN numbers of all the Petitioner Companies, at least 10 days before the date fixed for hearing under Form No. NCLT 3A of the National Company Law Tribunal Rules, 2016 with necessary variations.

34. The Petitioner Companies shall file an affidavit along with copy of notice within 14 days regarding service of notice.

35. The petition CP(CAA) No. 729/KB/2018, connected with CA(CAA) No. 562/KB/2017 is fixed for hearing on 5/9/18 .

36. Certified copy of the order may be issued, if applied for, upon compliance with all the requisite formalities.

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(Jinan K.R.)
Member (Judicial)

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